

SK Hynix (000660 KP)

Buy: Another surprise in DRAM prices

- ◆ Robust server demand driving not only server DRAM prices, but also mobile DRAM price hikes for longer
- ◆ Further solid CSP capex increase amid rise in cloud service fees to improve ROIC of data centres
- ◆ Retain Buy rating with new TP of KRW2.9m (from KRW1.8m), factoring in earnings and multiple upgrade

Stronger 2Q price and earnings trends: We expect SK Hynix to further benefit from stronger DRAM price trends in both server and mobile DRAM. We see 2Q operating profit 14% higher at KRW65trn (+73% q-o-q, +606% y-o-y), with sales of KRW80trn (+52 q-o-q, +260% y-o-y). Key upside comes from higher DRAM ASP at +40% q-o-q (vs 28% seen previously), factoring in: 1) stronger server and mobile price hikes amid robust general server demand; 2) capacity conversion from PC to server driving PC DRAM price hikes as well; and 3) HBM3e price rebound in order to narrow the price discount over PC DRAM. We see 2026 OP 13% higher at KRW265trn (+460% y-o-y), with sales of KRW329trn (+238% y-o-y).

Booming general server demand supporting DRAM price hikes: General server demand from data centres is rising sharply due to: 1) orchestrating the rapidly emerging AI agents; and 2) less power consumption than AI servers, raising appetite for mix optimization. According to TrendForce, the mix of AI and general servers in AI data centres should reach 1:1 from the current 4-8:1, boosting long-term growth of general servers and benefiting memory makers. SO-CAMM2 growth, started by NVIDIA Vera CPU, will spread to other ARM based CPUs, which we think looks formidable and should boost ASP further upwards with premium.

Robust CSP capex: We think: 1) the memory cycle is at a midpoint similar to the 1990-95 supercycle when office automation led to a 6yr DRAM shortage; 2) AI is diversifying memory demand to SO-CAMM2 and ICMS from HBM to lower costs per token and boosting AI usage; 3) CSPs will continue their aggressive capex as service fees are rising and better ROIC is expected. With a substantial decrease in costs and AI usage increase through agentic AI, the margins for leading AI service providers look to rise. This will make data centre investment easier due to higher ROIC expectations. 2026 capex growth for the major 4 CSP rose to USD640bn (+70% y-o-y), from +60% before 1Q earnings.

Retain Buy; new TP of KRW2.9m (from KRW1.8m): Factoring in strong DRAM price assumptions, we raise our 2026/27/28 OP by 13%/19%/21%. As the market looks to factor in a longer and stable earnings trend until 2028, we shift our reference period to 2027-28 average BVPS (from 2027). We lift our target PB multiple to 2.8x (from 2.4x), the historical peak, factoring in better ROE and comparability with US listed competitors as the company is proceeding to list its ADRs. Even at our TP the implied P/E would only be 7x 2027/28e average EPS. Our OP estimate is 9-13% higher than Bloomberg consensus for 2027-28e. Downside risks: 1) higher US interest rates as neo-CSPs and Open AI implement investment via financing; 2) aggressive capacity expansion at memory makers; 3) the Middle East conflict.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Semiconductors & Equipment

Korea


MAINTAIN BUY
TARGET PRICE (KRW)
2,900,000
PREVIOUS TARGET (KRW)
1,800,000
SHARE PRICE (KRW)
1,880,000
UPSIDE/DOWNSIDE
+54.3%
(as of 11 May 2026)

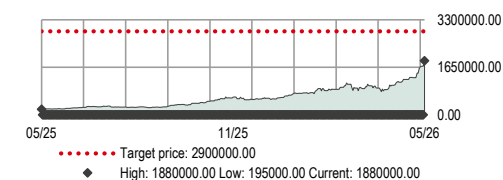
MARKET DATA

Market cap (KRWb)	1,339,880	Free float	67%
Market cap (USDm)	916,593	BBG	000660 KP
3m ADTV (USDm)	3,143	RIC	000660.KS

FINANCIALS AND RATIOS (KRW)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	62330.20	287363.28	421806.97	443537.44
HSBC EPS (prev)	62330.20	257077.53	357690.43	370562.66
Change (%)	0.0	11.8	17.9	19.7
Consensus EPS	56031.11	275909.78	359642.50	387182.09
PE (x)	30.2	6.5	4.5	4.2
Dividend yield (%)	0.2	1.1	1.5	1.6
EV/EBITDA (x)	21.7	4.2	2.4	1.8
ROE (%)	44.2	90.7	64.0	41.6

52-WEEK PRICE (KRW)



Source: LSEG IBES, HSBC estimates

Ricky Seo*

Head of Korea Research, Semiconductor and Display
The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch
rickyjulseo@kr.hsbc.com
+82 2 3706 8777

Han Kil Chang*

Research Analyst, Korea Technology
The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch
han.kil.chang@kr.hsbc.com
+822 3706 8750

* Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations

[HSBC Funding the Future Survey | Sentiment, AI and ...](#) [Click to view](#)

Issuer of report: The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch

View HSBC Global Investment Research at:
<https://www.research.hsbc.com>

Financials & valuation: SK Hynix

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (KRWb)				
Revenue	97,147	328,665	475,836	563,132
EBITDA	61,136	288,195	418,350	447,138
Depreciation & amortisation	-13,930	-23,631	-30,697	-39,993
Operating profit/EBIT	47,206	264,565	387,653	407,145
Net interest	-429	2,764	4,346	5,356
PBT	50,466	264,006	387,522	407,486
HSBC PBT	50,466	264,006	387,522	407,486
Taxation	-7,518	-66,001	-96,880	-101,871
Net profit	42,948	198,004	290,641	305,614
HSBC net profit	42,948	198,004	290,641	305,614
Cash flow summary (KRWb)				
Cash flow from operations	53,373	180,889	288,583	316,227
Capex	-27,374	-60,000	-80,000	-90,000
Cash flow from investment	-48,054	-61,964	-82,110	-92,267
Dividends	-1,519	-2,132	-14,221	-19,910
Change in net debt	-21,476	-115,364	-190,864	-202,670
FCF equity	25,999	120,889	208,583	226,227
Balance sheet summary (KRWb)				
Intangible fixed assets	4,049	4,283	4,565	4,895
Tangible fixed assets	77,503	114,586	164,649	215,473
Current assets	69,458	219,426	441,505	675,692
Cash & others	35,255	144,901	332,992	533,390
Total assets	176,108	364,860	638,845	925,847
Operating liabilities	33,193	31,942	32,281	35,851
Gross debt	22,248	16,530	13,757	11,484
Net debt	-13,007	-128,371	-319,235	-521,906
Shareholders' funds	120,516	316,237	592,657	878,361
Invested capital	82,562	161,452	245,446	326,819

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	46.8	238.3	44.8	18.3
EBITDA	69.6	371.4	45.2	6.9
Operating profit	101.2	460.4	46.5	5.0
PBT	111.3	423.1	46.8	5.2
HSBC EPS	116.9	361.0	46.8	5.2
Ratios (%)				
Revenue/IC (x)	1.3	2.7	2.3	2.0
ROIC	53.0	162.6	142.9	106.7
ROE	44.2	90.7	64.0	41.6
ROA	29.0	73.2	57.9	39.1
EBITDA margin	62.9	87.7	87.9	79.4
Operating profit margin	48.6	80.5	81.5	72.3
EBITDA/net interest (x)	142.4			
Net debt/equity	-10.8	-40.6	-53.9	-59.4
Net debt/EBITDA (x)	-0.2	-0.4	-0.8	-1.2
CF from operations/net debt				
Per share data (KRW)				
EPS Rep (diluted)	62330.20	287363.28	421806.97	443537.44
HSBC EPS (diluted)	62330.20	287363.28	421806.97	443537.44
DPS	3000.00	20000.00	28000.00	30000.00
Book value	169592.12	444731.43	833466.51	1235258.63

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	13.7	3.7	2.1	1.5
EV/EBITDA	21.7	4.2	2.4	1.8
EV/IC	16.1	7.5	4.2	2.5
PE*	30.2	6.5	4.5	4.2
PB	11.1	4.2	2.3	1.5
FCF yield (%)	1.9	9.0	15.6	16.9
Dividend yield (%)	0.2	1.1	1.5	1.6

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2026e
GHG emission intensity*	156.1	No. of board members	9
Energy intensity*	612.0	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	22.2
Social Indicators		Board members independence (%)	55.6
12/2024a			
Employee costs as % of revenues	2.3		
Employee turnover (%)	1.3		
Diversity policy	Yes		

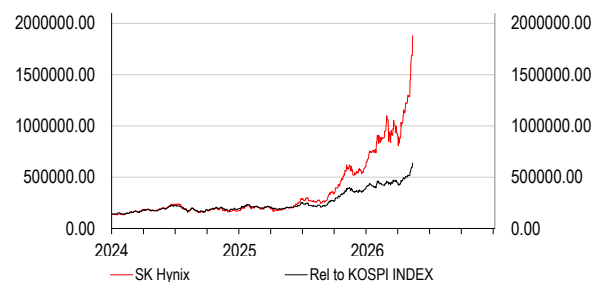
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (KRW)	1880000.00	Free float	67%
Target price (KRW)	2900000.00	Sector	Semiconductors
RIC (Equity)	000660.KS	Country/Region	Korea
Bloomberg (Equity)	000660 KP	Analyst	Ricky Seo
Market cap (USDm)	916,593	Contact	+82 2 3706 8777

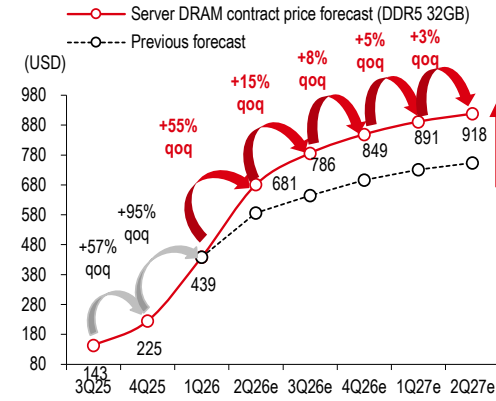
Price relative



Source: HSBC

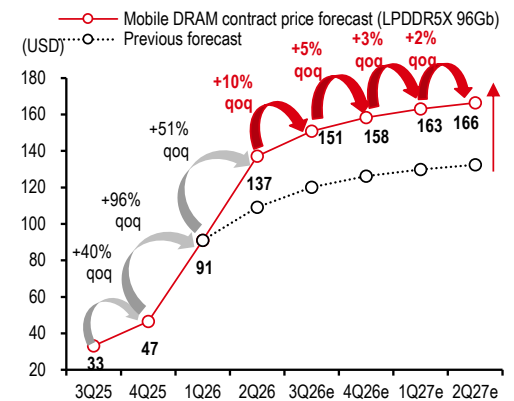
Note: Priced at close of 11 May 2026

Exhibit 1. We see stronger server DRAM pricing amid rising shipments of general servers



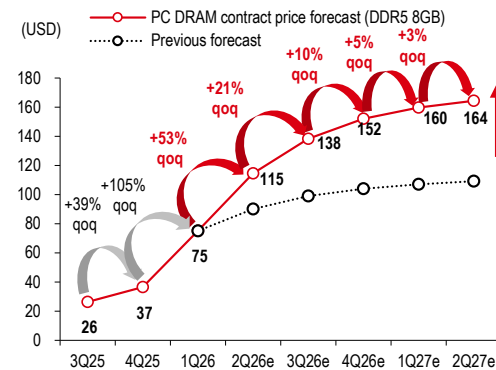
Source: DRAMeXchange, HSBC estimates

Exhibit 2. While the rise of SOCAMM2 is pushing mobile DRAM prices further as demand is moving into servers



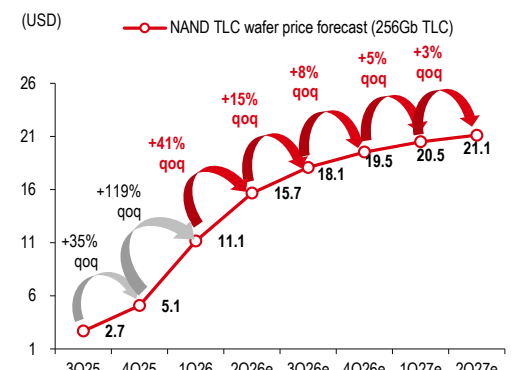
Source: DRAMeXchange, HSBC estimates

Exhibit 3. PC DRAM prices also strong as production capacity moves towards server and mobile



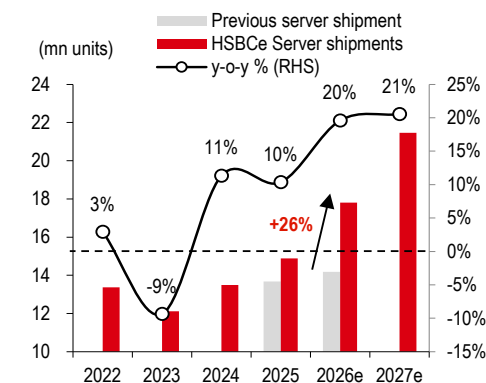
Source: DRAMeXchange, HSBC estimates

Exhibit 4. NAND flash wafer prices also continue to be strong from demand at ICMS and eSSD



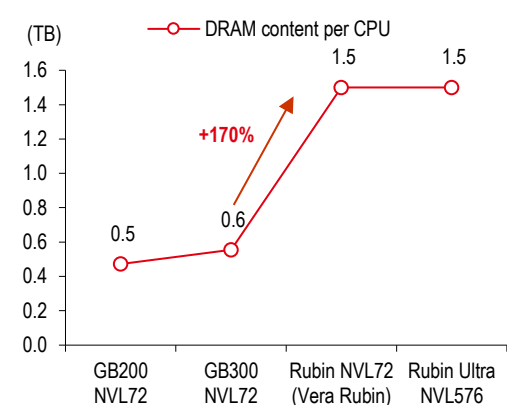
Source: DRAMeXchange, HSBC estimates

Exhibit 5. HSBC global tech team recently revised up server shipments, expecting 20%/21% y-o-y growth in 2026/27e



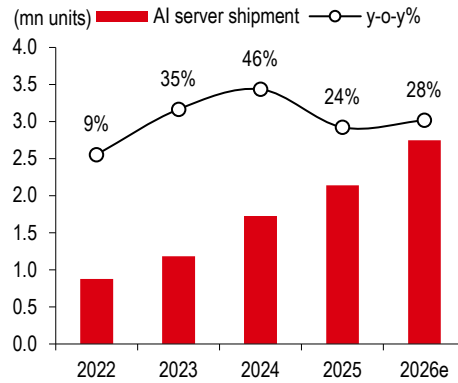
Source: TrendForce, HSBC estimates

Exhibit 6. Accelerating DRAM content growth in the latest Vera Rubin servers



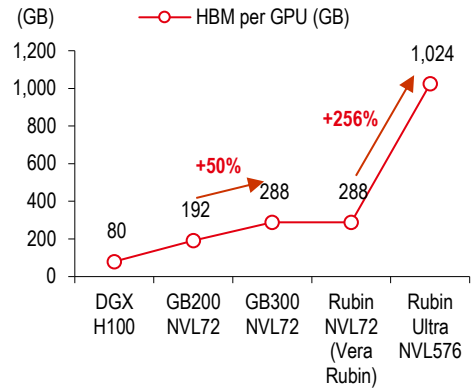
Source: Company data, HSBC estimates

Exhibit 7. AI server shipments to grow 28% y-o-y in 2026e



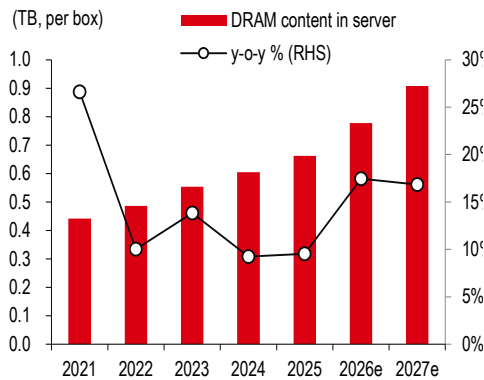
Source: TrendForce

Exhibit 8. HBM content to increase significantly in the Rubin Ultra



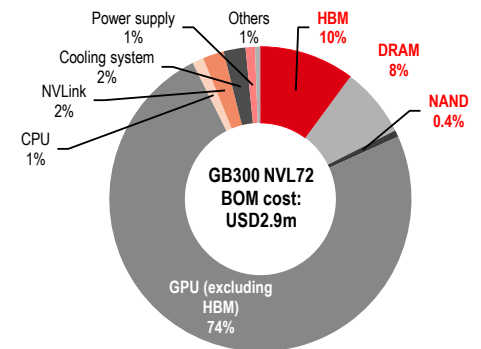
Source: Company data, HSBC estimates

Exhibit 9. Average server DRAM content per unit; strong growth of 17% in 2026-27e



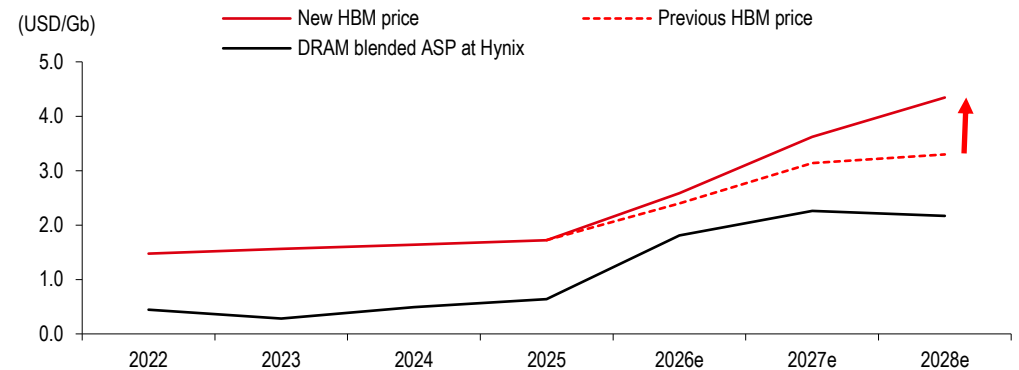
Source: DRAMeXchange, HSBC estimates

Exhibit 10. Bill of materials cost estimates for the GB300 NVL72 server system



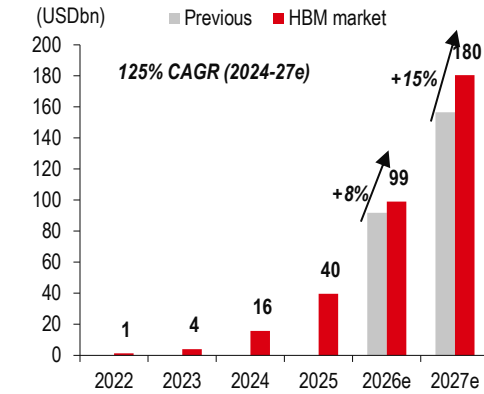
Source: HSBC estimates

Exhibit 11. We think HBM prices will see a round of upside revisions for 2026-28e



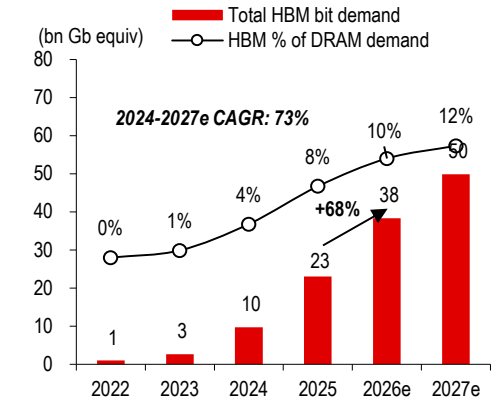
Source: Company data, HSBC estimates

Exhibit 12. HBM market growth set to reach USD180bn by 2027e



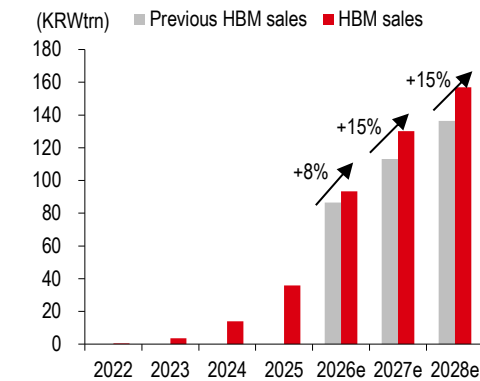
Source: Company data, HSBC estimates

Exhibit 13. HBM bit demand growth: CAGR of 73% in 2024-27e



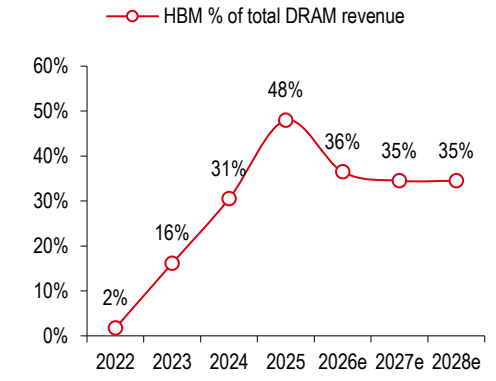
Source: Company data, HSBC estimates

Exhibit 14. We expect 8-15% stronger HBM sales at Hynix from price hikes...



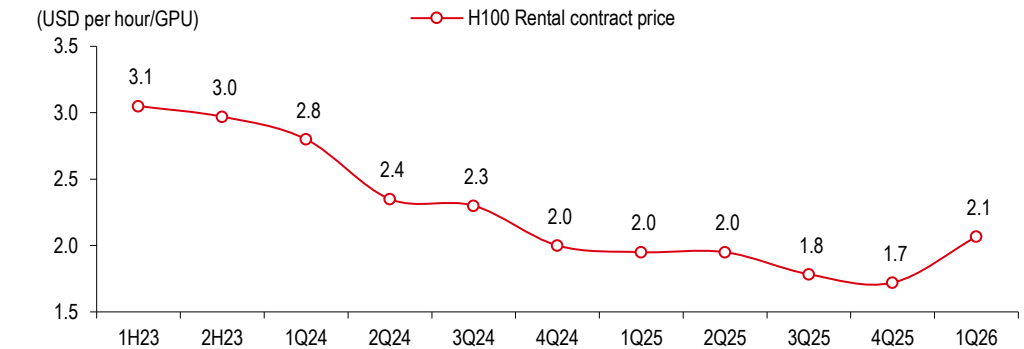
Source: Company data, HSBC estimates.

Exhibit 15. ...while the total portion of DRAM revenue at Hynix declines as commodity prices increase



Source: Company data, HSBC estimates. Note: HBM sales portion calculated as a percentage of total DRAM sales.

Exhibit 16. One-year contract price trend of AI GPUs (H100) for AI service providers



Source: Semianalysis, HSBC

Exhibit 17. US cloud service provider (CSP) capex; robust growth to continue at key US CSPs, up 70% in 2026e

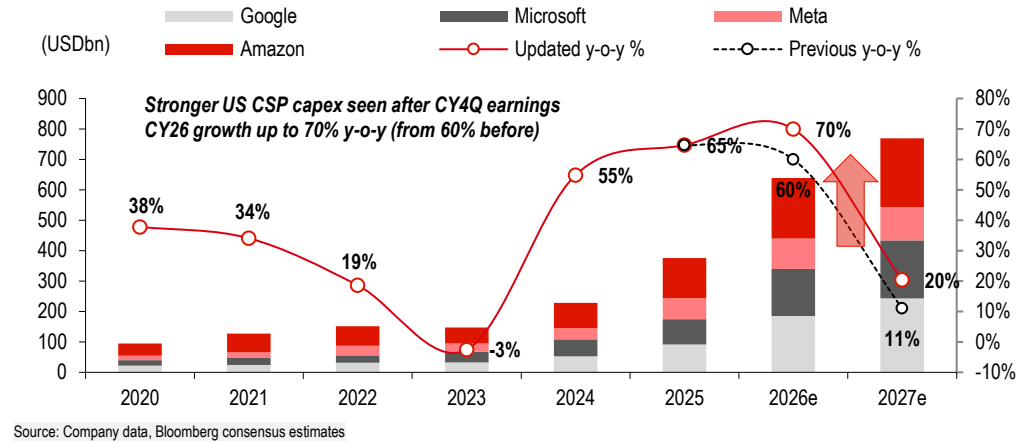


Exhibit 18. Capex consensus of key global CSPs (US & Chinese) for 2026; continued upside revisions; expected at USD733bn (+80% y-o-y)

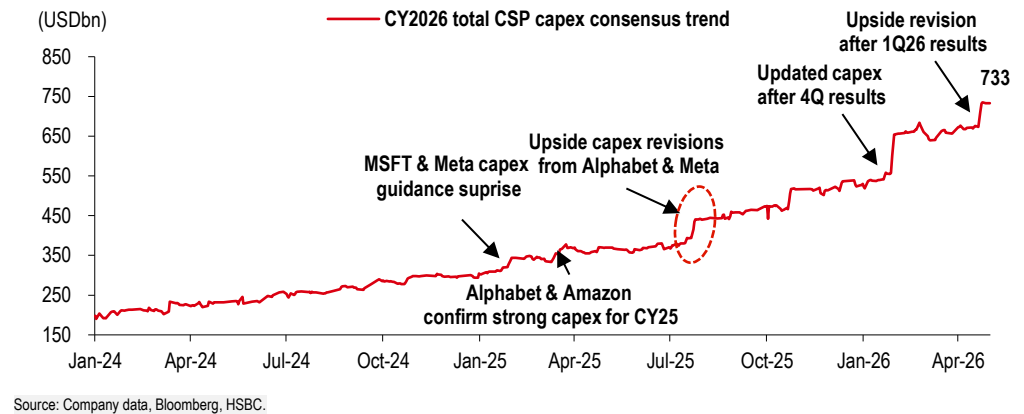


Exhibit 19. Open AI's cloud infra costs continue to grow

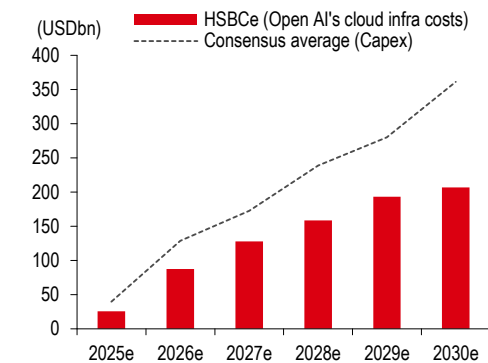


Exhibit 20. Capex estimates of key neo-CSPs; strong growth in 2026e

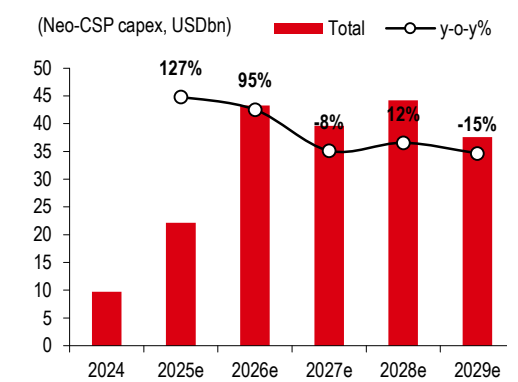
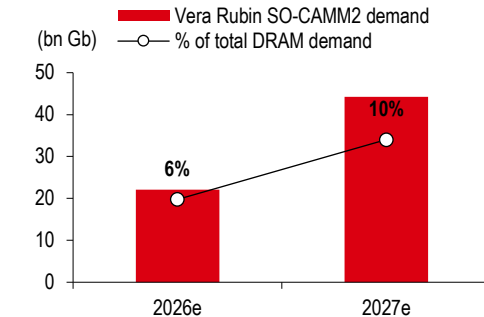
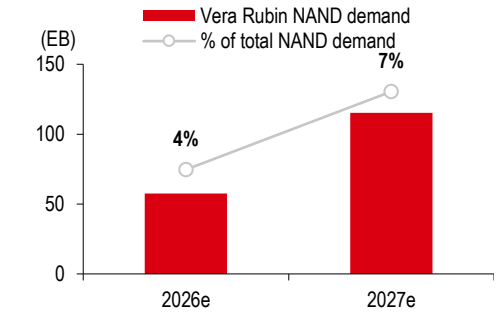


Exhibit 21. SO-CAMM2 demand estimates from the Vera Rubin platform; 6-10% of total DRAM demand



Source: HSBC estimates

Exhibit 22. NAND demand estimates from the Vera Rubin platform; 4-7% of total NAND, opportunities from ICMS



Source: HSBC estimates

Exhibit 23. Historical upcycles of the DRAM market by key events

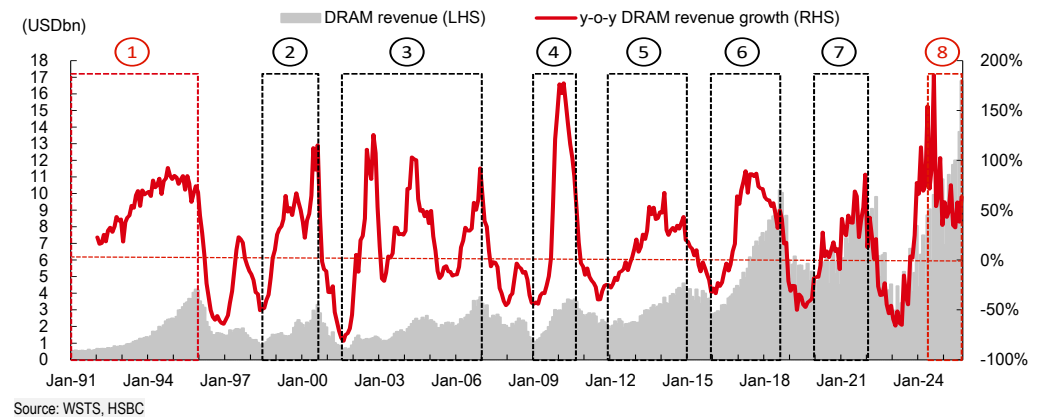
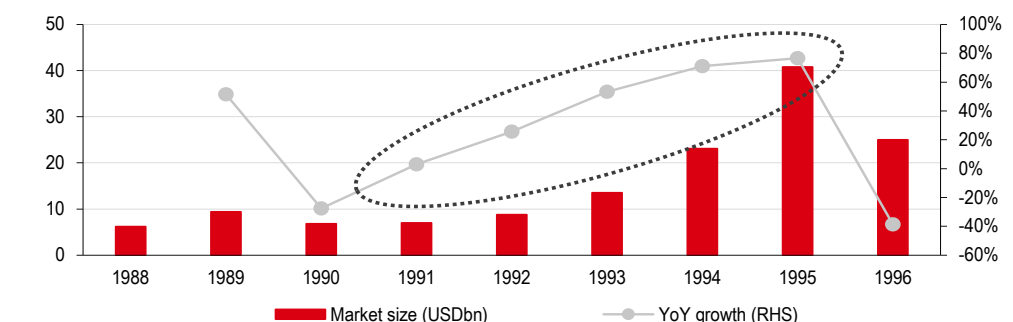


Exhibit 24. Details of historical upcycles of the DRAM market, by key events

Upcycles	Details
(1) 1990-1995	Personal computer (PC) boom, widespread adoption of PC by households, leading to growth in DRAM demand
(2) 1998-2000	Strong replacement demand from the 'Y2K' crisis, leading to even stronger PC replacement investment
(3) 2002-2006	Demand for downloadable services spiked with the help of slim notebook demand from LCD, release of iPod, and development of legacy cell phones
(4) 2009-2010	Launch of the world's first smartphone, and start of a new era in mobile application demand
(5) 2012-2015	Prolonged upcycle due to sudden supply reduction from major fire incident in SK Hynix's China facilities
(6) 2016-2018	Widespread adoption of streaming services, leading to accelerated investment in cloud infrastructure and digital transition
(7) 2020-2022	Unprecedented demand boom from 'WFH' trend causing more demand for PC, Chromebooks, and Tablet computers amid the global pandemic
(8) 1H24-current	Gen AI application demand growth, core of AI is moving from training (GPU) to inferencing (memory)

Source: HSBC

Exhibit 25. DRAM super cycle (1990-95) as the introduction of Windows 3.0 boosted the DRAM market 6x to USD41bn in 1995 from USD7bn in 1990



Source: WSTS, SIA, HSBC

Exhibit 26. Changes to our forecasts

(KRWbn)	New			Old			Change		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	328,665	475,836	563,132	304,121	422,809	498,357	8%	13%	13%
DRAM	255,864	377,085	454,733	231,319	324,058	389,958	11%	16%	17%
NAND	72,802	98,751	108,399	72,802	98,751	108,399	0%	0%	0%
OP	264,565	387,653	407,145	235,057	326,394	337,404	13%	19%	21%
DRAM	219,640	325,440	352,717	190,132	264,181	282,976	16%	23%	25%
NAND	45,075	62,373	54,588	45,075	62,373	54,588	0%	0%	0%
OPM	80%	81%	72%	77%	77%	68%	3%pt	4%pt	5%pt
DRAM	86%	86%	78%	82%	82%	73%	4%pt	5%pt	5%pt
NAND	62%	63%	50%	62%	63%	50%	0%pt	0%pt	0%pt

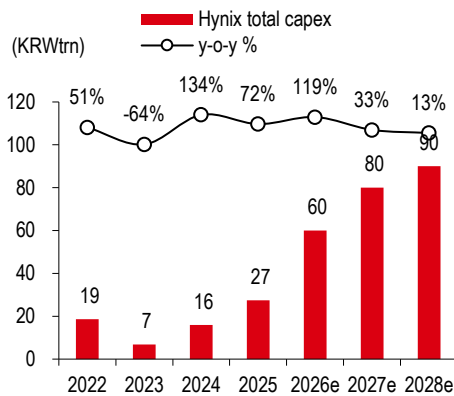
Source: HSBC estimates. Note: With this report, we introduce our 2028 estimates

Exhibit 27. HSBC estimates vs consensus

(KRWbn)	HSBCe			Consensus			Difference		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	328,665	475,836	563,132	322,843	448,924	505,020	2%	6%	12%
OP	264,565	387,653	407,145	245,217	341,851	372,245	8%	13%	9%
OPM	80%	81%	72%	76%	76%	74%	5%pt	5%pt	-1%pt

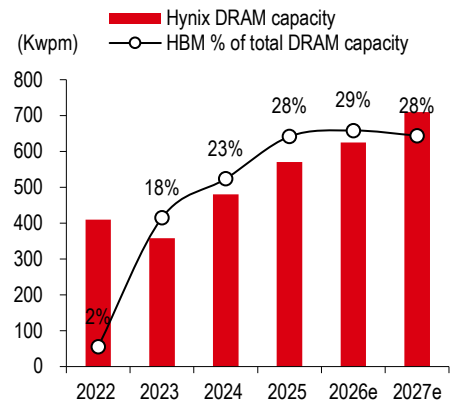
Source: Bloomberg consensus, HSBC estimates

Exhibit 28. We expect strong capex growth at Hynix, up 119% y-o-y in 2026e



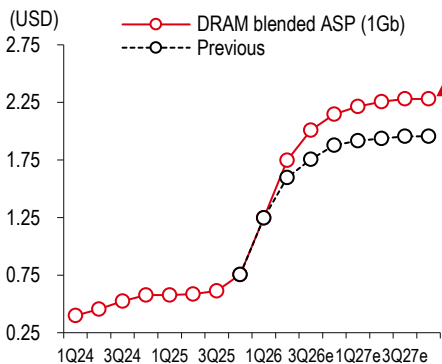
Source: Company data, HSBC estimates

Exhibit 29. Hynix plans to continue to expand its HBM capacity, reaching 200k by end-2027e



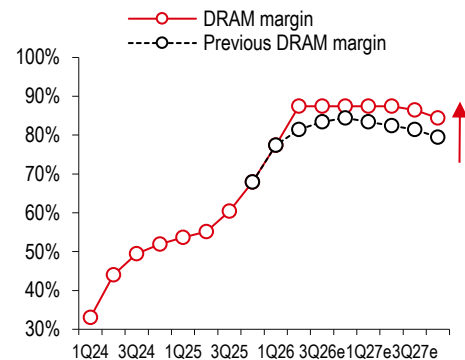
Source: Company data, HSBC estimates

Exhibit 30. Hynix's DRAM ASP to continue to rise from robust commodity DRAM pricing...



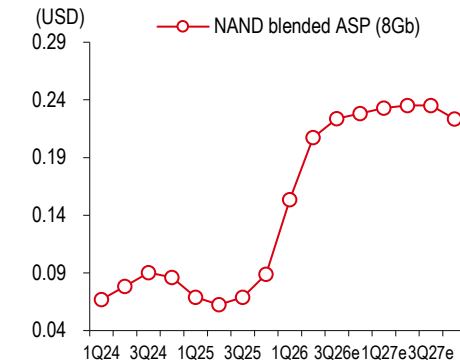
Source: Company data, HSBC estimates

Exhibit 31. ...which should lead to stronger DRAM margins



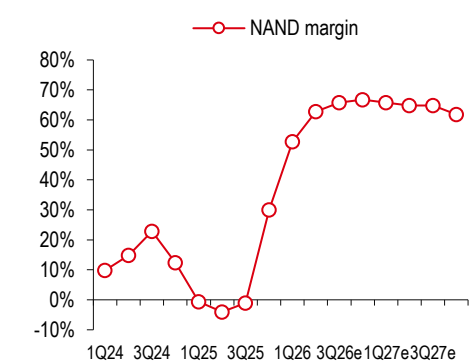
Source: Company data, HSBC estimates

Exhibit 32. NAND price recovery should continue to accelerate in 2026e



Source: Company data, HSBC estimates

Exhibit 33. ...leading to better margins in 2026e



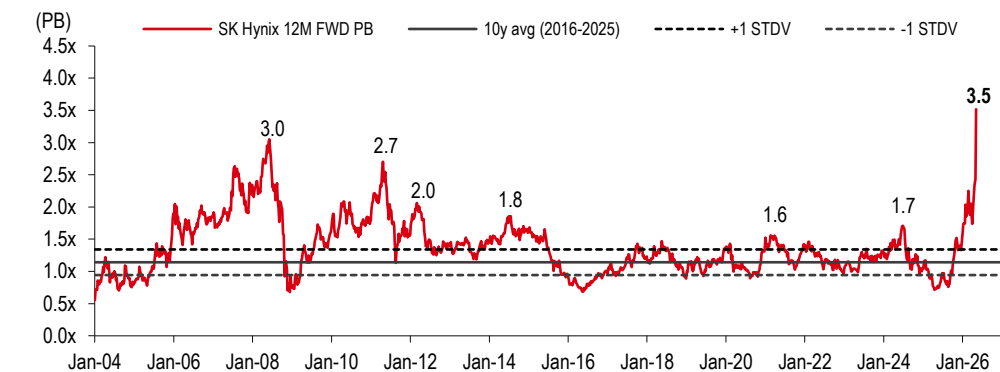
Source: Company data, HSBC estimates

Exhibit 34. Quarterly earnings and key assumptions

	1Q26	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025	2026e	2027e	2028e
Sales (KRWbn)	52,580	79,936	93,853	102,297	103,557	112,421	124,308	135,550	97,150	328,665	475,836	563,132
Growth (%) q-o-q, y-o-y	60	52	17	9	1	9	11	9	47	238	45	18
DRAM	40,752	61,501	73,518	80,093	80,952	88,226	98,614	109,293	74,909	255,864	377,085	454,733
NAND Flash & others	11,828	18,435	20,335	22,204	22,605	24,195	25,694	26,257	22,241	72,802	98,751	108,399
Sales breakdown (%)												
DRAM	78	77	78	78	78	78	79	81	77	78	79	81
NAND Flash & others	22	23	22	22	22	22	21	19	23	22	21	19
OP (KRWbn)	37,610	65,054	77,352	84,548	85,345	92,513	101,581	108,214	47,202	264,565	387,653	407,145
Growth (%) q-o-q, y-o-y	96	73	19	9	1	8	10	7	101	460	47	5
DRAM	31,557	53,773	64,280	70,030	70,780	77,140	85,237	92,282	45,283	219,640	325,440	352,717
NAND Flash	6,083	11,321	13,112	14,559	14,605	15,413	16,383	15,972	1,998	45,075	62,373	54,588
OPM (%)	72	81	82	83	82	82	82	80	49	80	81	72
DRAM	77	87	87	87	87	87	86	84	60	86	86	78
NAND Flash	53	63	66	67	66	65	65	62	9	62	63	50
EBITDA	41,339	70,802	84,100	91,955	92,026	99,766	109,600	116,958	61,136	288,195	418,350	447,138
Depreciation & amortization	3,729	5,747	6,748	7,407	6,681	7,252	8,019	8,745	13,930	23,631	30,697	39,993
EBITDA margin (%)	79	89	90	90	89	89	88	86	63	88	88	79
Key assumptions												
DRAM shipment (m units, 1Gb)	23,008	24,802	26,528	27,611	27,094	29,165	32,519	36,314	83,105	101,949	125,093	157,243
Growth q-o-q, y-o-y	0	8	7	4	(2)	8	12	12	23	23	23	26
Blended DRAM ASP (USD, 1Gb)	1.2	1.7	2.0	2.1	2.2	2.3	2.3	2.3	0.6	1.8	2.3	2.2
Growth q-o-q, y-o-y	65	40	15	7	3	2	1	0	29	184	25	(4)
NAND shipment (m units, 8Gb)	52,876	61,278	64,534	70,736	70,627	75,495	80,852	87,660	200,023	249,425	314,634	412,582
Growth q-o-q, y-o-y	(11)	16	5	10	(0)	7	7	8	13	25	26	31
Blended NAND ASP (USD, 8Gb)	0.15	0.21	0.22	0.23	0.23	0.24	0.24	0.22	0.1	0.2	0.2	0.2
Growth q-o-q, y-o-y	73	35	8	2	2	1	0	(5)	(8)	182	12	(16)

Note: TTB = Turn-to-black (Turn to profit). Source: Company data, HSBC estimates

Exhibit 35. SK Hynix: 12-month forward P/B



Source: Bloomberg, HSBC estimates

Exhibit 36. Historical P/B multiple, DRAM OPM and ROE trend

PB(x)	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026e	2027e	Ref. avg
High	2.8	2.5	2.1	2.8	2.2	2.0	2.1	1.7	1.4	1.9	1.4	1.4	1.6	1.7	1.5	1.9	2.3	3.8	-	-	2.8
Avg	1.9	1.7	1.7	1.9	1.8	1.6	1.6	1.3	1.0	1.3	1.1	1.1	1.2	1.4	1.1	1.4	1.7	1.8	-	-	1.9
Low	0.5	0.7	1.5	1.2	1.4	1.3	1.4	1.0	0.8	1.0	0.9	0.8	0.9	1.0	0.8	0.9	1.2	1.0	-	-	0.9
DRAM OPM	-34%	5%	31%	-4%	-1%	29%	40%	38%	27%	55%	62%	29%	28%	40%	33%	1%	46%	60%	86%	86%	
ROE	-93%	-6%	33%	-1%	-2%	25%	27%	22%	13%	37%	39%	4%	10%	17%	4%	-16%	31%	44%	91%	64%	

Source: Company data, HSBC estimates

Exhibit 37. Valuation comparison vs global peers

Category	Ticker	CCY	Rating	TP	Price	Mkt cap (USDbn)	26e PE	27e PE	26e EPSG	27e EPSG	26e PB	27e PB	26e ROE	27e ROE
Memory														
Samsung	005930 KP	KRW	Buy	350,000	285,500	1,142	8.2	6.3	426%	29%	2.8	2.1	46%	43%
SK Hynix	000660 KP	KRW	Buy	2,900,000	1,880,000	917	6.5	4.5	312%	39%	4.2	2.3	91%	64%
Sandisk	SNDK US	USD	NR		1,562.34	231	24.2	8.9	2058%	173%	13.0	5.4	61%	71%
Nanya Tech	2408 TT	TWD	NR		274	30	7.3	6.8	1823%	9%	3.1	2.1	51%	36%
Kioix Holdings	285A JP	JPY	NR		44,490	155	9.0	6.7	438%	34%	6.8	3.6	106%	73%
Average							11.1	6.6	1011%	57%	6.0	3.1	71%	57%
Foundry														
TSMC	2330 TT	TWD	Buy	2,800	2,235	1,851	23.1	19	46%	24%	7.8	5.8	39%	36%
Global foundries	GFS US	USD	Hold	65	74.12	41	37.7	30.9	13%	22%	3.5	3.4	10%	11%
UMC	2303 TT	TWD	Hold	80	95.00	38	21.3	20.4	34%	4%	3.5	2.7	16%	15%
Intel	INTC US	USD	Buy	100	124.92	628	106.5	57.9	176%	84%	5.2	4.8	5%	9%
Average							47.1	32.0	67%	33%	5.0	4.2	17%	18%
Other semi														
ST Micro	STMPA FP	EUR	Buy	62	57.79	53	45.7	22.4	139%	104%	2.9	2.6	6%	12%
Infineon	IFX GY	EUR	Buy	68	61.66	95	34.9	24.2	27%	44%	4.4	3.9	13%	17%
Average							40.3	23.3	83%	74%	3.7	3.3	10%	15%
Semi equipment														
Applied materials	AMAT US	USD	Buy	517	435.44	346	37.0	24.4	25%	51%	13.3	10.3	40%	47%
ASML Holdings	ASML NA	EUR	Buy	1568	1,319.40	604	41.4	31.2	29%	33%	21.3	17.2	56%	61%
ASM International	ASM NA	EUR	Buy	1015	882.20	51	39.1	31.1	55%	26%	8.8	7.6	25%	26%
LAM research	LRCX US	USD	Hold	247	294.05	368	36.7	30.5	40%	20%	20.9	14.6	68%	57%
BE Semiconductor	BESI NA	EUR	Hold	166	260.80	25	73.9	54.7	113%	35%	37.2	32.1	57%	62%
Average							45.6	34.4	52%	33%	20.3	16.4	49%	51%
Fabless														
NVIDIA	NVDA US	USD	Buy	295	215.20	5,229	25.5	21.0	77%	21%	14.8	8.9	81%	53%
AMD	AMD US	USD	Hold	380	455.19	742	67.3	39.6	62%	70%	10.7	8.9	17%	25%
Average							46.4	30.3	69%	46%	12.7	8.9	49%	39%
Tech platforms														
Meta	META US	USD	Buy	905	609.63	1,548	19.5	18.2	33%	7%	5.3	4.1	31%	26%
Alphabet	GOOGL US	USD	Buy	435	400.80	4,716	27.4	27.7	35%	-1%	8.2	6.1	35%	25%
Microsoft	MSFT US	USD	Buy	571	415.12	3,084	20.0	16.8	22%	19%	5.6	4.4	31%	29%
Apple	AAPL US	USD	Hold	260	293.32	4,308	33.3	30.9	18%	8%	35.9	28.4	134%	102%
Average							25.1	23.4	27%	8%	13.7	10.8	58%	46%

Source: Bloomberg consensus, HSBC estimates for covered names, Priced as of 11 May 2026 for Asian Equities, Priced as of 8 May 2026 otherwise.

Valuation and risks

Valuation		Risks to our view
SK Hynix 000660 KP	Current price: KRW1,880,000	Downside risks: 1) Higher US interest rates as neo-CSPs and Open AI implement investment through financing; 2) more aggressive capacity expansion at memory makers, 3) KRW appreciation, leading to weaker earnings and margin pressure.
	Target price: KRW2,900,000	
Buy	Up/downside: +54.3%	
Maintain Buy with a new TP of KRW2.9m (from KRW1.8m).		
We value the stock using a target PB multiple.		
Factoring in strong DRAM price assumptions, we raise our 2026/27/28 OP by 13%/19%/21%. As the market looks to factor in a longer and more stable earnings trend to 2028, we shift our reference period in our valuation to the 2027-28 average BVPS of KRW1,034,363 (from 2027 BVPS of KRW741,990). We also lift our target PB multiple to 2.8x (from 2.4x), which is the historical peak, as we factor in better ROE and comparability with US listed competitors as the company is proceeding to list its ADRs. Our new target price implies c54% upside and we therefore retain our Buy rating.		
We calculate a fair value target price of EUR1,731 (from EUR1,074) for the GDR listed on the Frankfurt stock exchange (HY9H GR, EUR1,065) based on our local share target price using a EUR/KRW exchange rate of 1,676 and a GDR to Korea listed share conversion ratio of 1-to-1.		
We calculate a fair value target price of USD2,042 (from USD1,268) for the GDR listed on the Luxembourg stock exchange (HYXS LX, USD1,245) based on our local share target price using a USD/KRW exchange rate of 1,420 and a GDR to Korea listed share conversion ratio of 1-to-1.		

Priced at 11 May 2026
 Source: HSBC estimates

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Ricky Seo and Han Kil Chang.

Important disclosures

Equities: Stock ratings and basis for financial analysis

HSBC and its affiliates, including the issuer of this report ("HSBC") believes an investor's decision to buy or sell a stock should depend on individual circumstances such as the investor's existing holdings, risk tolerance and other considerations and that investors utilise various disciplines and investment horizons when making investment decisions. Ratings should not be used or relied on in isolation as investment advice. Different securities firms use a variety of ratings terms as well as different rating systems to describe their recommendations and therefore investors should carefully read the definitions of the ratings used in each research report. Further, investors should carefully read the entire research report and not infer its contents from the rating because research reports contain more complete information concerning the analysts' views and the basis for the rating.

From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

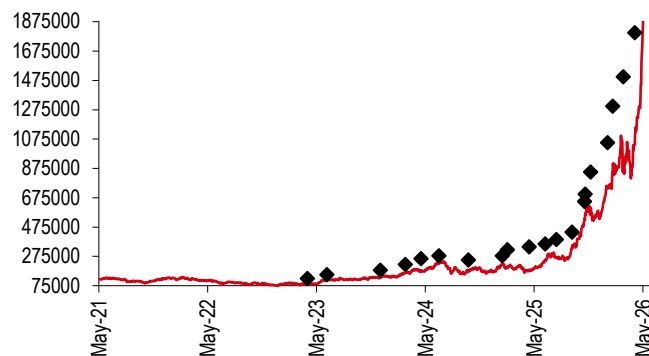
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at <http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures>.

Share price and rating changes for long-term investment opportunities

SK Hynix (000660.KS) share price performance KRW Vs HSBC rating history



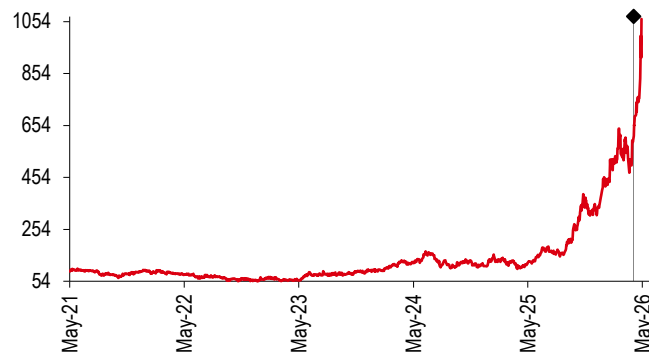
Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	26 Nov 2020	Ricky Seo
Target price	Value	Date	Analyst
Price 1	125000	10 Apr 2023	Ricky Seo
Price 2	150000	15 Jun 2023	Ricky Seo
Price 3	180000	11 Dec 2023	Ricky Seo
Price 4	220000	04 Mar 2024	Ricky Seo
Price 5	260000	25 Apr 2024	Ricky Seo
Price 6	280000	25 Jun 2024	Ricky Seo
Price 7	250000	02 Oct 2024	Ricky Seo
Price 8	280000	23 Jan 2025	Ricky Seo
Price 9	320000	10 Feb 2025	Ricky Seo
Price 10	340000	24 Apr 2025	Ricky Seo
Price 11	360000	16 Jun 2025	Ricky Seo
Price 12	390000	24 Jul 2025	Ricky Seo
Price 13	440000	15 Sep 2025	Ricky Seo
Price 14	650000	26 Oct 2025	Ricky Seo
Price 15	700000	29 Oct 2025	Ricky Seo
Price 16	850000	16 Nov 2025	Ricky Seo
Price 17	1050000	12 Jan 2026	Ricky Seo
Price 18	1300000	29 Jan 2026	Ricky Seo
Price 19	1500000	05 Mar 2026	Ricky Seo
Price 20	1800000	13 Apr 2026	Ricky Seo

Source: HSBC

SK Hynix (HY9Hy.F) share price performance EUR Vs HSBC rating history

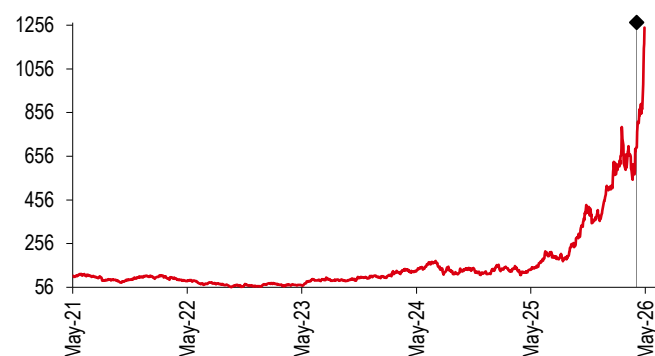


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1074	13 Apr 2026	Ricky Seo

Source: HSBC

SK Hynix (HYNIX.LU) share price performance USD Vs HSBC rating history


Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	13 Apr 2026	Ricky Seo
Target price	Value	Date	Analyst
Price 1	1268	13 Apr 2026	Ricky Seo

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

Clients of HSBC Private Bank: www.research.privatebank.hsbc.com/Disclosures

All other clients: www.research.hsbc.com/A/Disclosures

HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
SK HYNIX	000660.KS	1880000.00	11 May 2026	1, 5, 7

Source: HSBC

- HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- As of 30 April 2026, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- A covering analyst/s has received compensation from this company in the past 12 months.
- A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- As of 01 May 2026, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
- As of 01 May 2026, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

14 HSBC Qianhai Securities Limited holds 1% or more of a class of common equity securities of this company.

HSBC and its affiliates will from time to time sell to and buy from customers the securities/instruments, both equity and debt (including derivatives) of companies covered in HSBC Research on a principal or agency basis or act as a market maker or liquidity provider in the securities/instruments mentioned in this report.

Analysts, economists, and strategists are paid in part by reference to the profitability of HSBC which includes investment banking, sales & trading, and principal trading revenues.

Whether, or in what time frame, an update of this analysis will be published is not determined in advance.

Non-U.S. analysts may not be associated persons of HSBC Securities (USA) Inc, and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with the subject company, public appearances and trading securities held by the analysts.

Economic sanctions laws imposed by certain jurisdictions such as the US, the EU, the UK, and others, may prohibit persons subject to those laws from making certain types of investments, including by transacting or dealing in securities of particular issuers, sectors, or regions. This report does not constitute advice in relation to any such laws and should not be construed as an inducement to transact in securities in breach of such laws.

For disclosures in respect of any company mentioned in this report, please see the most recently published report on that company available at www.hsbcnet.com/research. HSBC Private Bank clients should contact their Relationship Manager for queries regarding other research reports. In order to find out more about the proprietary models used to produce this report, please contact the authoring analyst.

Additional disclosures

- 1 This report is dated as at 12 May 2026.
- 2 All market data included in this report are dated as at close 11 May 2026, unless a different date and/or a specific time of day is indicated in the report.
- 3 HSBC has procedures in place to identify and manage any potential conflicts of interest that arise in connection with its Research business. HSBC's analysts and its other staff who are involved in the preparation and dissemination of Research operate and have a management reporting line independent of HSBC's Investment Banking business. Information Barrier procedures are in place between the Investment Banking, Principal Trading, and Research businesses to ensure that any confidential and/or price sensitive information is handled in an appropriate manner.
- 4 You are not permitted to use, for reference, any data in this document for the purpose of (i) determining the interest payable, or other sums due, under loan agreements or under other financial contracts or instruments, (ii) determining the price at which a financial instrument may be bought or sold or traded or redeemed, or the value of a financial instrument, and/or (iii) measuring the performance of a financial instrument or of an investment fund.
- 5 As of 05 May 2026 HSBC owned a significant interest in the debt securities of the following company(ies): SK HYNIX

Production & distribution disclosures

1. This report was produced and signed off by the author on 11 May 2026 13:40 GMT.
2. In order to see when this report was first disseminated please see the disclosure page available at <https://www.research.hsbc.com/R/34/LBdp6rg>

Disclaimer

Legal entities as at 7 December 2024:

HSBC Bank plc; HSBC Continental Europe; HSBC Continental Europe SA, Germany; HSBC Bank Middle East Limited, DIFC; HSBC Bank Middle East Limited, UAE branch; HSBC Yatirim Menkul Degerler AS, Istanbul; The Hongkong and Shanghai Banking Corporation Limited, Hong Kong; The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch; The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch; HSBC Qianhai Securities Limited; HSBC Securities (Taiwan) Corporation Limited; HSBC Securities and Capital Markets (India) Private Limited, Mumbai; HSBC Bank Australia Limited; HSBC Securities (USA) Inc., New York; HSBC México, SA, Institución de Banca Múltiple, Grupo Financiero HSBC; Banco HSBC SA

Issuer of report

The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch
7th Floor, HSBC Building
25, 1-ka, Bongrae-dong
Chung-ku, Seoul 100-161, Korea
Telephone: +822 3706 8700/3
Fax: +822 3706 8797
Website: www.research.hsbc.com

This document has been issued by The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HSBC") for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers. If it is received by a customer of an affiliate of HSBC, its provision to the recipient is subject to the terms of business in place between the recipient and such affiliate. This document is not and should not be construed as an offer to sell or the solicitation of an offer to purchase or subscribe for any investment. HSBC has based this document on information obtained from sources it believes to be reliable but which it has not independently verified; HSBC makes no guarantee, representation or warranty and accepts no responsibility or liability as to its accuracy or completeness. Expressions of opinion are those of the Research Division of HSBC only and are subject to change without notice. From time to time research analysts conduct site visits of covered issuers. HSBC policies prohibit research analysts from accepting payment or reimbursement for travel expenses from the issuer for such visits. HSBC and its affiliates and/or their officers, directors and employees may have positions in any securities mentioned in this document (or in any related investment) and may from time to time add to or dispose of any such securities (or investment). HSBC and its affiliates may act as market maker or have assumed an underwriting commitment in the securities of companies discussed in this document (or in related investments), may sell them to or buy them from customers on a principal basis and may also perform or seek to perform investment banking or underwriting services for or relating to those companies. This publication is distributed by either The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch ("HBAP SLS") or The Hongkong and Shanghai Banking Corporation Limited, Seoul Branch ("HBAP SEL") for the general information of professional investors specified in Article 9 of the Financial Investment Services and Capital Markets Act ("FSCMA"). This publication is not a prospectus as defined in the FSCMA. It may not be further distributed in whole or in part for any purpose. Both HBAP SLS and HBAP SEL are regulated by the Financial Services Commission and the Financial Supervisory Service of Korea. The document is intended to be distributed in its entirety. Unless governing law permits otherwise, you must contact a HSBC Group member in your home jurisdiction if you wish to use HSBC Group services in effecting a transaction in any investment mentioned in this document. In the UK, this publication is distributed by HSBC Bank plc for the information of its Clients (as defined in the Rules of FCA) and those of its affiliates only. Nothing herein excludes or restricts any duty or liability to a customer which HSBC Bank plc has under the Financial Services and Markets Act 2000 or under the Rules of FCA and PRA. A recipient who chooses to deal with any person who is not a representative of HSBC Bank plc in the UK will not enjoy the protections afforded by the UK regulatory regime. HSBC Bank plc is regulated by the Financial Conduct Authority and the Prudential Regulation Authority.

In the European Economic Area, this publication has been distributed by HSBC Continental Europe or by such other HSBC affiliate from which the recipient receives relevant services.

In Japan, this publication has been distributed by HSBC Securities (Japan) Co., Ltd.. In Hong Kong, this document has been distributed by The Hongkong and Shanghai Banking Corporation Limited in the conduct of its Hong Kong regulated business for the information of its institutional and professional customers; it is not intended for and should not be distributed to retail customers in Hong Kong, unless permitted otherwise. The Hongkong and Shanghai Banking Corporation Limited makes no representations that the products or services mentioned in this document are available to persons in Hong Kong or are necessarily suitable for any particular person or appropriate in accordance with local law. All inquiries by such recipients must be directed to The Hongkong and Shanghai Banking Corporation Limited. It may not be further distributed in whole or in part for any purpose. In Singapore, this publication is distributed by The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch for the general information of institutional investors or other persons specified in Sections 274 and 304 of the Securities and Futures Act 2001 of Singapore ("SFA") and accredited investors and other persons in accordance with the conditions specified in Sections 275 and 305 of the SFA. Only Economics or Currencies reports are intended for distribution to a person who is not an Accredited Investor, Expert Investor or Institutional Investor as defined in SFA. The Hongkong and Shanghai Banking Corporation Limited, Singapore Branch accepts legal responsibility for the contents of reports. This publication is not a prospectus as defined in the SFA. It may not be further distributed in whole or in part for any purpose. The Hongkong and Shanghai Banking Corporation Limited Singapore Branch is regulated by the Monetary Authority of Singapore. Recipients in Singapore should contact a "Hongkong and Shanghai Banking Corporation Limited, Singapore Branch" representative in respect of any matters arising from, or in connection with this report. Please refer to The Hongkong and Shanghai Banking Corporation Limited Singapore Branch's website at www.business.hsbc.com.sg for contact details. In Australia, this publication has been distributed by The Hongkong and Shanghai Banking Corporation Limited (ABN 65 117 925 970, AFSL 301737) for the general information of its "wholesale" customers (as defined in the Corporations Act 2001). Where distributed to retail customers, this research is distributed by HSBC Bank Australia Limited (ABN 48 006 434 162, AFSL No. 232595). These respective entities make no representations that the products or services mentioned in this document are available to persons in Australia or are necessarily suitable for any particular person or appropriate in accordance with local law. No consideration has been given to the particular investment objectives, financial situation or particular needs of any recipient.

HSBC Securities (USA) Inc. accepts responsibility for the content of this research report prepared by its non-US foreign affiliate. The information contained herein is under no circumstances to be construed as investment advice and is not tailored to the needs of the recipient. All US persons receiving and/or accessing this report and wishing to effect transactions in any security discussed herein should do so with HSBC Securities (USA) Inc. in the United States and not with its non-US foreign affiliate, the issuer of this report. HSBC México, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC is authorized and regulated by Secretaría de Hacienda y Crédito Público and Comisión Nacional Bancaria y de Valores (CNBV). In Brazil, this document has been distributed by Banco HSBC SA ("HSBC Brazil"), and/or its affiliates. As required by Resolution No. 20/2021 of the Securities and Exchange Commission of Brazil (Comissão de Valores Mobiliários), potential conflicts of interest concerning (i) HSBC Brazil and/or its affiliates; and (ii) the analyst(s) responsible for authoring this report are stated on the chart above labelled "HSBC & Analyst Disclosures". If you are a customer of HSBC International Wealth & Premier Banking ("IWPB"), including HSBC Private Bank, you are eligible to receive this publication only if: (i) you have been approved to receive relevant research publications by an applicable HSBC legal entity; (ii) you have agreed to the applicable HSBC entity's terms and conditions and/or customer declaration for accessing research; and (iii) you have agreed to the terms and conditions of any other internet banking, online banking, mobile banking and/or investment services offered by that HSBC entity, through which you will access research publications (collectively with (ii), the "Terms"). If you do not meet the above eligibility requirements, please disregard this publication and, if you are a IWPB customer, please notify your Relationship Manager or call the relevant customer hotline. Distribution of this publication is the sole responsibility of the HSBC entity with whom you have agreed the Terms. Receipt of research publications is strictly subject to the Terms and any other conditions or disclaimers applicable to the provision of the publications that may be advised by IWPB.

© Copyright 2026, The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch, ALL RIGHTS RESERVED. No part of this publication may be reproduced, stored in a retrieval system, or transmitted, on any form or by any means, electronic, mechanical, photocopying, recording, or otherwise, without the prior written permission of The Hongkong and Shanghai Banking Corporation Limited, Seoul Securities Branch.

[1279161]